digital hardware and software capex out of total capex. The capex incurred by PowerGrid and other transmission companies on computers, fibre optics, scanners and other digital hardware and all the code/programs purchased as a proportion of total capex incurred would indicate, in a broad measure, the level of digitalization of power transmission. Other factors like proportion of consumers reached digitally or turnover achieved digitally would also indicate digitalization of the sector. An index of all relevant factors can be built to gauge the extent of digitalization of the economy.

The state of the digital Indian economy can be best figured out by assessing how much of the GVA/GDP comes from the production of digital goods and services. Digitalization of the economy should be separately assessed by developing an appropriate metric for it.

Size of the Indian Digital Economy

All economic activities are organized into five-digit codes and in twenty-one sections, eighty-eight divisions, 238 groups, 403 classes and 1304 subclasses for compilation of GDP and other statistical purposes.

One specific division captures manufactured digital goods. This is Division 26—the manufacture of computer, electronic and optical products. This division organizes digital goods into eight groups. We can therefore measure India's GVA from manufactured digital goods by looking at the data of Division 26. Digital services are more dispersed in a number of divisions. Section J, among others, contains all the divisions that capture value added from digital services. There is Division 58 in Group 582, which measures the value added from software publishing. Division 62 is made up of computer programming, consultancy and related activities. Division 63 measures value added from information service activities with two groups: Group 631 (data processing, hosting and related activities; web portals) and Group 639 (other information service activities). Further, in this section, Division 59 (motion pictures, video and television programme production,